d. Insolvency, disease, or death of a debtor.

e. Closure of debtor's business or his disappearance.

f. Time- barred debts.

g. Handing over of old debts to company lawyer to file legal suit for recovery.

h. Finally, in case of writing down any bad debt or allowing excessive discount to any debtor, the auditor should carefully go through relevant correspondence and see that there is proper authorization for the same.

2. In regard with collection of debtors, the auditor must consider the following points:

   a. Make sure that all payments collected from debtors, particularly towards the closing of the year, are promptly credited to their accounts. Auditor should also see that duly authorized vouchers issued by the company acknowledging payments in respect of debts substantiate all such receipts.

   b. Examine carefully amount paid by debtors, but not credited in their accounts if any.

   c. Make sure that customer's account is duly debited for goods sold or credit.

   d. Vigilantly enquire into disputed balances owing to some claims or complaints.

   e. Check the adequacy of the provision for bad and doubtful debts made by the management by undertaking an analysis of the provision for doubtful debts. The auditor should allow a debt to be written off as bad debt when he is fully satisfied that it is irrecoverable. Inadequacy of provision for bad and doubtful debts if any, must be brought to the knowledge of the owner of the business and highlighting the same in audit report.

(D) Disclosure in Balance Sheet

Book-debts must appear in Balance Sheet at their estimated realisable value. That means there should be deduction of the provision kept for Doubtful Accounts from the total book debts. According to Para III Schedule to Companies Act 2013, there should be disclosure of Sundry Debts in Balance Sheet as follows:

1. There should be separate statement of aggregate amount of trade receivable (book debts) not paid for more than six months from the date they became due.
2. Classification of Trade receivables must be as follows: (a) Secured, considered good, (b) Unsecured, considered good and (c) Doubtful.
3. There should be separate disclosure of allowance for bad and doubtful debts.
4. Debts owned by Directors or other officer of the company, or any of them either individually or jointly with any other person, or debts owned by firms or private companies respectively in which any director is a partner, a director, or member, should be separately stated.

5.3 Verification and Valuation of Intangible Assets

5.3.1 Meaning and Definition of Intangible Assets

Intangible assets are those assets, which do not have their form or physical existence. However, they are part of business and appear in the Balance Sheet, like any other assets, by

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